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Hiwin Technologies Corp. | Asia Pacific

September Sales Flat MoM/
+30% YoY

In this report, we focus on Hiwin's monthly sales, which we believe could be a catalyst for its share price.

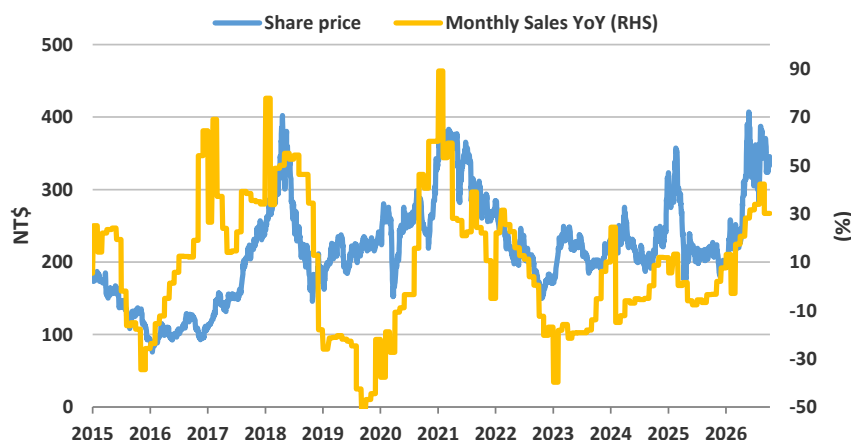
Details:

- September sales were NT\$2,720mn (flat MoM/+30% YoY).
- 3Q26 revenue came in at NT\$8,110mn (+8% QoQ/+35% YoY), largely in line with our estimate at NT\$7,996mn (+6% QoQ/+33% YoY) and the consensus of NT\$7,964mn (+6% QoQ/+33% YoY).

Our view:

- On top of the sequential growth on the top line, we believe that Hiwin should also further expand its gross margin on a QoQ basis in 3Q26, owing to the higher utilization and the tailwinds of price hikes.
- We think the momentum should remain favorable in the near term.
- We stay constructive on the stock, with current valuation at 29x 2027e P/E vs. a peak cycle level of 35-40x.

Exhibit 1: Hiwin's monthly sales YoY vs. its share price since 2015



Source: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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Hiwin Technologies Corp. (2049.TW, 2049 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$450.00
Up/downside to price target (%)	33
Shr price, close (Oct 6, 2026)	NT\$339.50
52-Week Range	NT\$426.00-180.50
Sh out, dil, curr (mn)	354
Mkt cap, curr (mn)	US\$3,787
EV, curr (mn)	US\$3,776
Avg daily trading value (mn)	US\$45

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	4.31	9.77	11.77	13.77
Prior EPS (NT\$)**	-	-	-	-
Revenue, net (NT\$ mn)	24,263	29,992	34,688	39,123
EBITDA (NT\$ mn)	4,001	6,485	7,488	8,431
ModelWare net inc (NT \$ mn)	1,526	3,457	4,165	4,873
P/E	45.0	34.7	28.8	24.6
P/BV	1.4	2.2	2.0	1.9
RNOA (%)	3.6	8.7	11.1	12.7
ROE (%)	4.1	9.2	10.4	11.2
EV/EBITDA	12.6	17.9	15.3	13.3
Div yld (%)	1.2	0.6	0.9	1.1
FCF yld ratio (%)**	2.0	3.7	2.6	2.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Hiwin Technologies Corp. 2049.TW			
September 2026 Sales	06 Oct 2026	Unchanged	In-line

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 38x to our 2027 EPS estimate. We view this multiple as justified by the 47% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Hiwin Technologies Corp. (2049.TW) - As of 10/06/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 10/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 8/5/21 : 480.04; 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400; 8/12/26 : 450

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.36
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb164.88
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.90
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.35
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.32
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb389.00
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$1,045.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.79
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.17
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.46
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,855.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.97
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.88
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$5.43
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$52.30
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.49
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.00
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb71.35
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$38.14
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb53.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$64.10
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb260.77
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.43

Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$24.26
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb411.16
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$180.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb106.92
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.40
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb808.44
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,079.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$21.80
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb30.58
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,050.00
Advantech (2395.TW)	O (01/20/2021)	NT\$738.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,195.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,685.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$37.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,530.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.72
Chenbro (8210.TW)	O (07/23/2025)	NT\$885.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,350.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,050.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$149.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,415.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$339.50
Innolux (3481.TW)	E (04/07/2025)	NT\$51.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.31
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$299.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.79
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.31
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb184.03
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$1,000.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$206.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$35.90
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$5,995.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.02
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb58.20
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$380.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,260.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$256.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb65.93
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$55.10
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,920.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$35.40
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,865.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,505.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$333.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb129.96
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb373.01
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,310.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$567.00

Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,290.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$625.00
Zhen Ding (4958.TW)	++	NT\$574.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$551.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,755.00

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* Historical prices are not split adjusted.